



CONVERTIBLE BONDS SPECIAL

Catching the sweet spot with convertible bonds

Despite a temporary setback in the middle of 2013, equity and fixed income markets are currently trading near all-time highs. However, particularly fixed income investors find it currently hard to earn reasonable risk-adjusted returns, as bonds trade close to historically low credit spreads. Bond managers may address this problem by taking positions in convertible bonds. This document is the first in a series of documents introducing convertible bonds as an asset class.

What are convertible bonds? Convertible bonds combine the elements of equity and bond investing into one single instrument: Basically, a convertible bond is a classical fixed income product with a fixed coupon rate and the promise of repayment of the principal at maturity. Additionally, it also offers the investor the right to convert the bond into a pre-determined number of the underlying shares of the issuer.

What moves the prices of convertible bonds? As an asset class, convertible bonds perform best in high-growth cycles, trading like equity shares due to their embedded conversion option, whereas in recessionary phases, convertibles resemble the performance of a classical bond. The performance of an individual convertible depends on the underlying equity share movement:

- (i) If the share price is well below the conversion price, the convertible will mimic the behaviour of a plain vanilla bond. Therefore, the main pricing determinates are market interest rates and the credit risk of the issuer.
- (ii) If the equity share price increases well above the conversion price, the convertible price will match the development of the equity share closely because the embedded option becomes more valuable. The return is however often capped by a (soft) call option.

Our view on the convertible market: Convertible bonds were amongst the top performing asset classes in 2013. We expect that convertibles will continue to perform well given that (i) European equity markets are expected to rise further in 2014, (ii) market interest rates stay at the current levels, and (iii) market volatility has bottomed out. Hence, we assess the overall market environment for convertibles as positive.

Our hot picks: Although the macro environment is positive for convertible investors, finding attractive opportunities across the convertible universe has become increasingly difficult. Using a scoring model, we identified three attractive picks and evaluate these from a fundamental equity and credit perspective. Out top picks are as follows:

Berenberg's top α picks:

(Screening coverage)

Bond/recom.	Bond / YTW / Equity		
Grand City Properties GYCGR 1½ 02/24/19	113.9	-0.03%	€ 8.9

Overweight

Deutsche Wohnen AG DWNIGY ½ 11/22/20	105.1	-0.63%	€ 16.2
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Overweight

LEG Immobilien AG LEGR ½ 07/01/21	102.1	0.19%	€ 51.6
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Overweight

(Pricing: 10.06.2014 BGN Close)

GRAND CITY
Properties S.A.

Grand City Properties S.A.

Upside potential: 29% (PT € 11.5)
FFO growth 2014/2016: + 12%
Loan-to-Value: 44%
EBITDA margin: 50%
Business focus: NRW & Berlin

Overweight

Deutsche Wohnen

Deutsche Wohnen AG

Upside potential: 11% (PT € 18)
FFO growth 2014/2016: + 5%
Loan-to-Value: 57%
EBITDA margin: 68%
Business focus: Berlin region

Overweight

LEG

LEG Immobilien AG

Upside potential: 7% (PT € 55)
FFO growth 2014/2016: + 3%
Loan-to-Value: 48%
EBITDA margin: 40%
Business focus: NRW region

Overweight

Source: Berenberg Fixed Income Research and Berenberg Equity Research (as of 10.06.2014). Company data for FY 2013.

11 June 2014

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Why to invest in convertible bonds?

The asset class of convertible bonds fits those investors best whose primary goal is capital preservation but who want to participate in upside trending equity markets at the same time. Moreover, convertibles provide a natural hedge against downside volatility in equity markets.

Advantages of the convertible asset class

When compared to equity-only investing:

- Capital preservation due to the bond floor (greater downside protection and seniority)
- Less volatility in returns because of the asymmetric payoff diagram
- Participate in equity market upswings and less so in equity market downturns

When compared to bond-only investing:

- Allows the investor to participate in upside trending stock markets (via the embedded call option)
- Total return instrument (moderate yield coupled with a sensitivity to stock movements)

Source: Berenberg Fixed Income Research

Weaknesses of the convertible asset class

When compared to equity-only investing:

- Convertible bonds may be called when the equity price rises above a threshold which caps the maximum return and exposes the investor to reinvestment risks
- If the investor has a very strong perception that the equity price will increase, a direct equity investment is more efficient

When compared to bond-only investing:

- As time progresses, the option loses value which depresses the convertible's price
- Some convertibles require a mandatory share conversion at the latest at the end of maturity

Convertible bond terminology - some key terms explained

The terminology used when talking about convertible bonds resembles the one used when talking about equity and bonds. There are some key terms special to convertibles which are illustrated for the Grand City Properties (GCP) 1½ 24.02.2019 convertible bond:

Term	GCP bond	Explanation
Terms related to the conversion option of the bond (Bloomberg: <i>DES</i> function)		
Conversion ratio	10285.3146	Number of shares into which one bond (par-amount of € 100,000) can be converted
Conversion price	€ 9.7226	Par-amount of the bond (€ 100,000) divided by the conversion ratio (10285.3146).
Conversion type	Voluntary	Implies that the conversion of the bond into shares is voluntary. There are some cases in which the bondholder has to obligation to convert (mandatory conversion).

Analytical ratios needed to judge the attractiveness/risk of the convertible bond (Bloomberg: *OVCV* function)

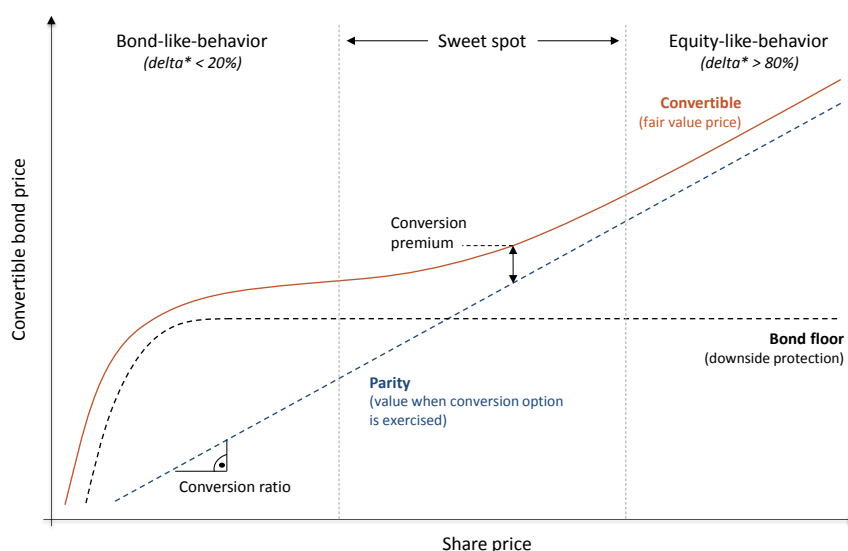
Parity	91.54%	Value of the investment if the convertible option would be immediately executed (therefore also called the conversion value). At 100%, the conversion price would equal the current share price. A parity above 100% means that the investor benefits when executing the conversion option because the share price is above the conversion price.
Bond floor	91.81%	Represents all cash flows (including the principal repayment), assuming that the conversion option is not executed.
Delta (%)	63.74%	Sensitivity of the bond to share price developments. When the equity share of GCP increases by 1%, then the price of the convertible increases by c.0.64%.

Source: Berenberg Fixed Income Research, market data provided by Bloomberg (10.06.2014)

What is the most favourable environment for convertible bond investors?

From an asset class perspective, the most favourable environment for convertible bond investors is in the early stages of an economic recovery with rising equity prices and still falling interest rates. However, also in phases where only equity prices are rising or only interest rates are falling, convertible investors benefit from a macro point of view. The only market environment where convertible bonds underperform is when interest rates rise and equity prices fall which is often the case around the economic peak.

From a convertible bond-specific perspective, the most favourable position in terms of a risk/return perspective occurs when the convertible is trading near to the conversion (i.e. strike) price which we label the sweet spot for convertible bond investing. Generally speaking, the behaviour and performance of convertible bonds depend on how far away the equity price is from the conversion price (measured by the delta*):



* delta describes the sensitivity of the convertible to a one-EUR increase in the underlying share price. When the equity share price is well above the conversion price, the embedded call option is deep-in-the-money and the delta is high implying that the convertible behaves like the underlying equity share.

Convertible bond behaviour

Bond component dominates

When the share price is well below the conversion price, the convertible behaves like a plain vanilla bond. The main pricing drivers are market interest rates and the credit risk of the issuer.

Hybrid space (sweet spot)

Investors have the highest risk/return potential when the convertible is trading near to the conversion (i.e. strike) price: while the investor benefits from each further increase in the equity price due to the increased option value, the downside is limited by the present value of the bond's cash flows (bond floor).

Equity component dominates

Once the share price increases well above the conversion price, the convertible price matches the development of the equity share price very closely. The maximum return is often capped by an embedded call option.

What drives convertible bond prices?

Price drivers ...	
... for the option component	... for the bond component
- Equity price - Volatility of the underlying share - Time to maturity of the embedded option - Call date(s) & price	- Credit spread (e.g. Rating) - Market interest rates (mainly relevant for deep-out-of-the-money bonds)

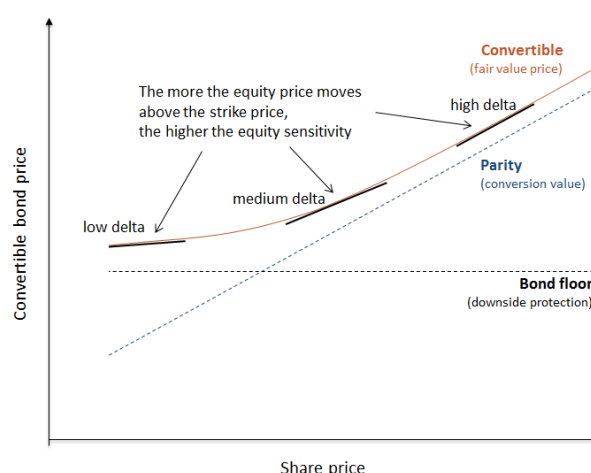
In order to assess the price impact on the convertible bond for a change in one of the price drivers, investors can revert to parameter sensitivities, termed “The Greeks”. These are used by arbitrageurs to exploit mispricings but also give outright investors a feeling for how sensitive the convertible price is to changes in the underlying price drivers.

Stock Price (delta, Δ)

Definition: Measures the price reaction of the convertible for a change in the underlying stock price. Technically, the delta is the slope of the line on the convertible’s fair value price curve. The delta varies depending on how far the option is in/out-of-the-money.

Pricing impact: Delta is between zero and one. The more the option is in-the-money, the higher the delta. For deep-in-the-money convertibles, the delta (slope of the line) is close to 1 and the convertible will mimic the performance of the equity share price.

Example: A delta of 63.74 for GCP’s convertible bond implies that if the equity share increases by one percentage point, then the price of the convertible will increase by 0.6374 %.

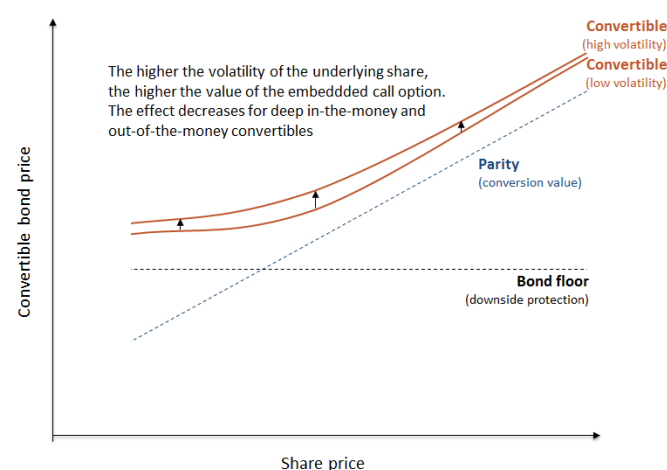


Volatility (vega, v)

Definition: Measures the price reaction of the convertible bond for a change in the option’s implied volatility.

Pricing impact: When the volatility rises, the value of the embedded option increases which leads to an increase in the fair value of the convertible. However, the price impact of a change in the volatility falls if the convertible is deep-in-the-money or deep-out-of-the-money. For convertibles with a high implied volatility, the fair value curve is higher for each share price when compared to a low implied volatility state.

Example: The vega for GCP is 0.63. This means that if the implied volatility increases by one percentage point, the convertible price will increase by 0.63%.



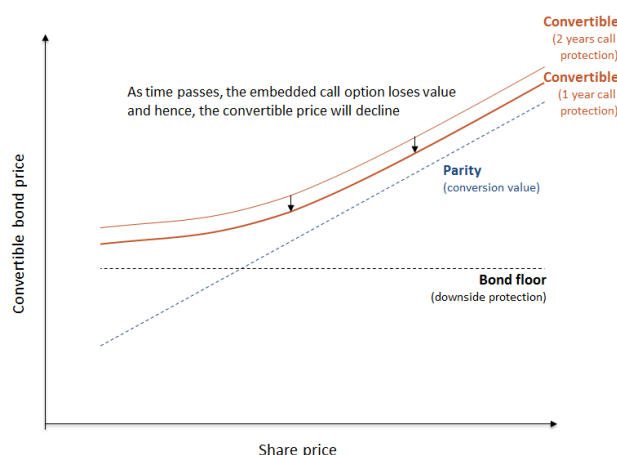


Time to maturity (theta, θ)

Definition: Measures the decay of the time premium of the embedded option of the convertible.

Pricing impact: As time progresses, the time value of the option decays which leads to a lower fair value price curve. Note however, that the issuer may have a (soft) call option on the bond – i.e. the right to call the bond back at a pre-specified date and price – and hence, decreasing market interest rates increase theta risk.

Example: A theta of 0.001 implies that the GCP's convertible will lose each day 0.001% because of the decay of the time premium.

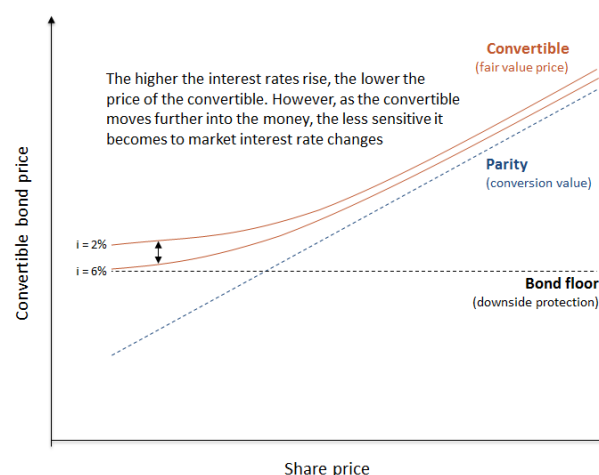


Interest Rate Risk (rho, ρ)

Definition: Measures the price reaction of the convertible bond for a change in the market interest rate.

Pricing impact: If market interest rates rise, the investment value of the bond will decline. If the convertible is deep-in-the-money, rho will be near zero and movements in market interest rates will have a negligible effect on the convertible bond price.

Example: A rho of -2.655 implies that the convertible will lose 2.655% when there is a parallel shift in the risk-free yield curve.

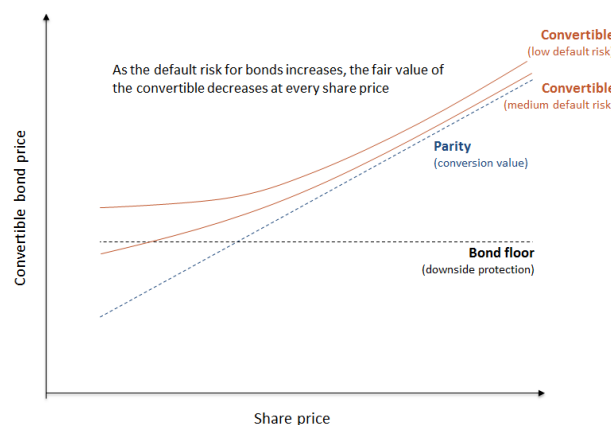


Default Risk/Credit Sensitivity (omnicrom, o)

Definition: Measures the price reaction of the convertible for a change in the credit spread.

Pricing impact: If the credit spreads narrows, the fair value price of the convertible will increase. Default risk is insignificant for convertibles which are deep-in-the-money (omnicrom is near zero). On the other hand, if the convertible trades in the distressed zone, the probability of default will increase and omnicrom risk will become a more prominent pricing driver.

Example: A value of -2.764 for the credit sensitivity implies that – for a given parallel shift in the default curve – the convertible price of GCP will decline by 2.764%.



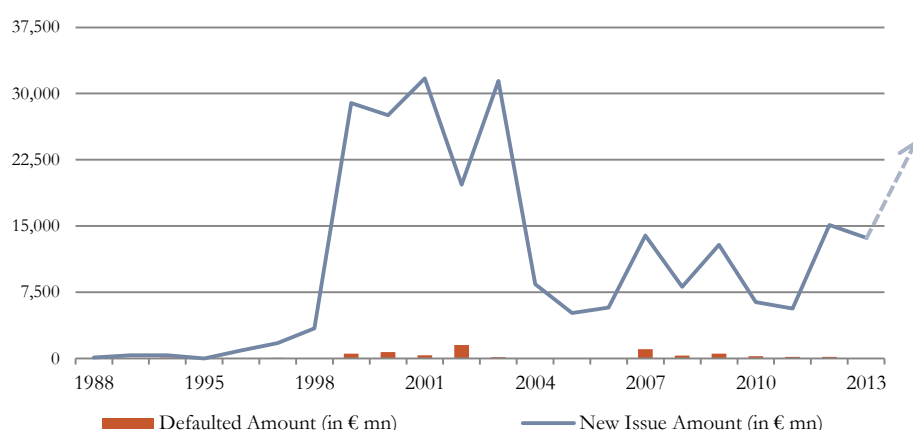


The European convertible universe (excluding banks)

Convertible bond market: The market for investable European EUR denominated corporate convertible bonds (issues with at least € 50m outstanding) has currently a volume of around € 44bn and consists of 73 issuers. Two trends have become evident over the past 24 months:

- (i) issuance from countries with high risk premiums like Spain and Italy has increased and
- (ii) the real estate sector was amongst the most active issuers of convertible bonds, both in terms of volume and in terms of the frequency.

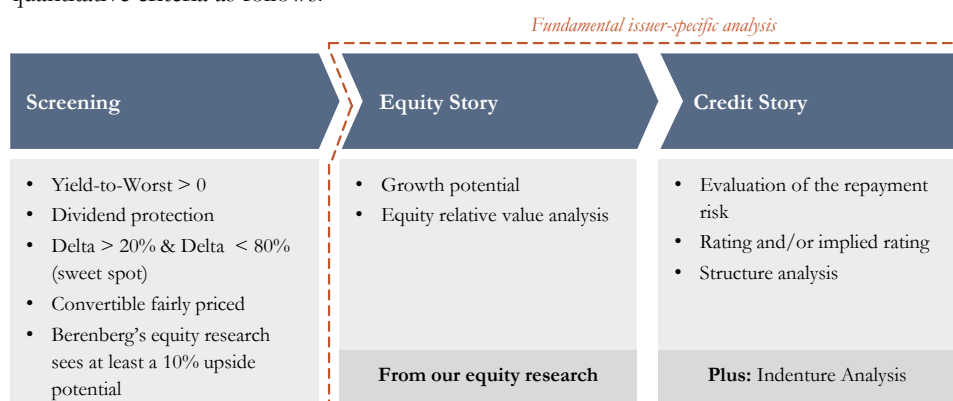
Primary market issuance expected to rise: Historically, convertible bond issuance increased when equity markets displayed high a P/E ratio. Given the current average P/E ratio, Berenberg expects that primary market issuance will pick up in 2014/15.



Berenberg's screening approach

This initial publication focuses on trading ideas for outright investors across the whole universe of European EUR denominated convertible bonds (excl. the banking sector). We thereby use a three step procedure to screen for the most attractive picks.

We assess the equity and credit story of the respective company, based on pre-defined quantitative criteria as follows:





Overview of Berenberg's hot picks

The results of our screening model are depicted in the table below. All of our three top picks stem from the residential part of the German real estate industry.

	Grand City Prop. <i>GYCGR 1½ 02/19</i>	Deutsche Wohnen <i>DWNIGY ½ 11/20</i>	LEG Immobilien <i>LEGGR ½ 07/21</i>
Bond details			
Price (Bond)	113.9	105.1	102.1
Bond floor	91.81	83.342	80.816
Option value	22.54	22.001	21.765
Eff. soft-call trigger	143%/13.892	141%/26.408	137%/85.337
Delta (in %)	63.74	58.958	47.304
Implied volatility	30.41	31.345	28.862
Yield-to-worst	-0.03%	-0.63%	0.19%
Current/Strike price (in €)	8.9/9.7226	16.2/18.7538	51.6/62.39
Equity Price Target	€ 11.50	€ 18	€ 55
Upside potential	29%	11%	7%
Shadow score	Baa3	Ba1	Baa2
Rating	BB+ (S&P)	---	---
Volume (in € million)	150m	250m	300m
Company details (2014e)			
LTV	51%	56%	48%
Net Debt/EBITDA	4.2x	9.4x	8.7x
Main region of business	NRW/Berlin	Berlin	NRW
FFO growth until 2016e	Strong growth (12%)	Medium growth (5%)	Low growth (3%)
EBITDA (incl. rev.)	€ 196m	€ 554m	€ 312m
Interest coverage	4x	1.8x	2.6x

Source: Berenberg Fixed Income Research and Equity Research, Market data provided by Bloomberg (as of 10.06.2014)

Note to our data and sources: We use data and the views provided by our equity research analysts for the company profiles on the following pages. Where not indicated otherwise, all figures and data refer to the FY 2014 estimates. Market data are provided by Bloomberg as of 10.06.2014.

Our three hot picks in the context of the German real estate industry

The real estate industry currently suffers from an unattractive perception by investors. However, there are no fundamental reasons why the real estate industry itself is unattractive. In fact, the German real estate industry, particularly our three top picks, are very attractive from an equity and credit perspective.

Grand City Properties, Deutsche Wohnen and LEG are market leaders in their respective region, profiting from strong economic developments and demographic trends in their markets. Given that these companies have their strongest exposure to the dynamically developing regions within Berlin and North Rhine-Westphalia, they should profit from low and even further declining vacancy rates, rent resilience and a stable level of rental income, as well as a stable growth in rents for the foreseeable future. Additionally, from a through-the-cycle perspective, declines in the economic activity levels, household incomes or unemployment rates have little effect on the revenue and cash flow streams of our hot picks.



Grand City Properties S.A.

GYCGR 1½ 02/24/19 (Equity Ticker: GYC GY)

Recommendation:
Overweight

Issuer: Grand City Properties SA (GYC GR)
Conversion price (ratio): € 9.7226 (10285.3146 shares per bond)
Berenberg's credit score: Baa3 with stable outlook
Rating: BB+ with stable outlook (S&P)
Issue size: € 150m (par-amount: € 100k)
Coupon: 1.5% (fixed, semi-annual)
Maturity: 24th February 2019

Call details: Soft Call @ 106.65 (trigger: 130% of conversion price @ € 12.639; day type: 20 out of 30 business days)
Dividend protection: full protection
Covenants: Cross Default and Change of control
Use of proceeds: Acquisition financing
Payment rank: 1st lien

Investment thesis and recommendation

GYCGR 1½ 02/19 is a balanced convertible with a delta of 64.22% with a YTM of -0.03%. With an implied volatility of c.30%, Berenberg assesses the convertible bond to be fairly valued.

We like the equity story of Grand City Properties (GCP) and assess the growth prospects in terms of earnings as excellent (rental income growth, rising rental values, and the portfolio growth). On the credit side, S&P views the business risk profile as “fair” but considers the financial profile as “aggressive”. There is a significant amount of senior secured bank debt that ranks structurally higher than the convertible bond

Company overview

Grand City Properties is a turn-around manager for distressed and underperforming real estate portfolios ranging in size from € 5m to € 50m. “Distressed” thereby means multiples of c.10x on the capitalisation rate, translating into yields of c.10% per annum. GCP is active in Germany with a focus on the states of North Rhine-Westphalia (c.45% of GCP's assets) and Berlin (c.23% of GCP's assets).

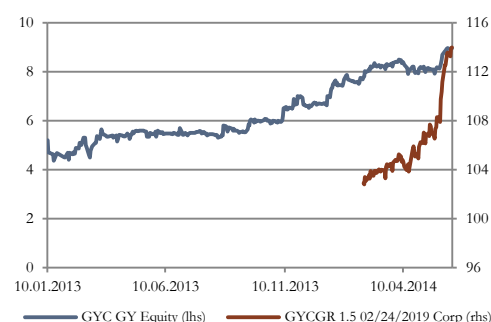
GCP creates value mainly by increasing occupancy rates and rental levels after renovating the estates – predominantly apartment blocks – thereby profiting from its strong network in its regions. The company caters the whole value chain from sourcing deals to letting estates in-house. It is headquartered in Berlin and employs c.150 persons.

Equity story (click here for the [full study](#) and [last comment](#))

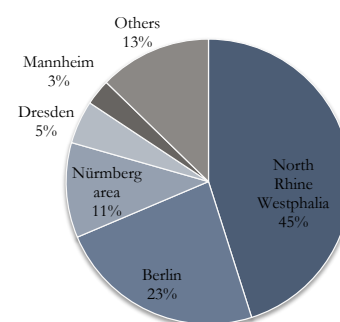
GCP was founded in 2004. However, it was not until 2008 before the growth story of GCP began: in the aftermath of the financial crisis, the company acted countercyclical and grew its portfolio from 770 units in 2008 to more than 31,000 units as of May 2014. The typical apartment is of an average quality and has c.65sqm in size. The key competitive advantages of GCP are

- (i) ability to identify underperforming apartment blocks,
- (ii) ability to reduce vacancy rates, and
- (iii) to increase rents after the refurbishment.

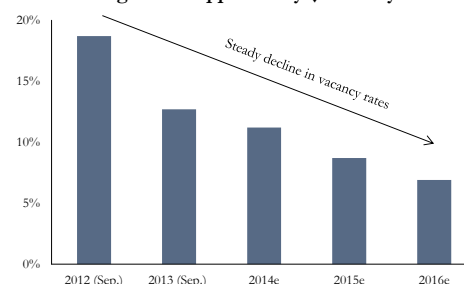
Equity (in €) and convertible bond development



Real estate portfolio split by region 2013



GCP's growth supported by ↓ vacancy rates





The strategic medium-term goal of GCP is to grow its current real estate portfolio to c.40,000 units until 2017. However, the company acts opportunistically if it can secure attractive prices. The equity research of Berenberg identifies the following growth drivers:

Clear focus on continued portfolio growth and enhancement

We expect vacancy rates to decrease from 13% in 2013 to 6% in like-for-like rentals (one of GCP's key competences). Additionally, Berenberg expects a yearly acquisition volume of c.5,000 units.

Strong earnings momentum

Berenberg regards the earnings potential as significant and expects the adjusted EBITDA to double to € 144m until 2017. This is accomplished by a further reduction in the vacancy rates and to a smaller extend from sales of its portfolio (around 10% of its portfolio p.a. is considered for sale). As of May 2014, in-place rent per sqm on a like-for-like basis increased by 3% yoy.

Low financial leverage and strong financial discipline

GCP's LTV for its total portfolio stands at c.44% (covenant allows an LTV of up to 65%). The management targets a LTV value of below 50%, leaving plenty of room for further acquisitions.

Credit profile

On the credit side, we perceive the long-dated maturity profile and the low LTV of 44% (2014e) of the company as positive. The fact that over 40% of GCP's assets are unencumbered leads to a credit scoring on the boundary between the investment-grade and the high yield area. The liquidity profile seems fine with no material refinancing coming up until 2017 (average maturity of debt is six years).

As potential sources of risks for GCP's business, we see

- (i) a concentration of the portfolio in certain regions, although this is mitigated by a strong economic conditions in the respective regions,
- (ii) limited economics of scale and initial capex outlays to turn apartment blocks around depress EBITDA margins (S&P estimates GCP's 2012 EBITDA margin at 50% vs. 65% for peers), and
- (iii) the business growth strategy relies on finding underperforming apartment blocks. Indeed, according to S&P, GCP could take a more conservative view on acquisitions when financing costs rise.

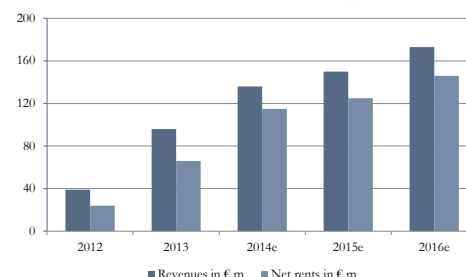
What could change the rating down (S&P)?

- Interest coverage falls below 1.5x
- A debt-to-capital ratio in excess of 65%
- Large leveraged transaction, significantly higher renovation capex or falling property yields

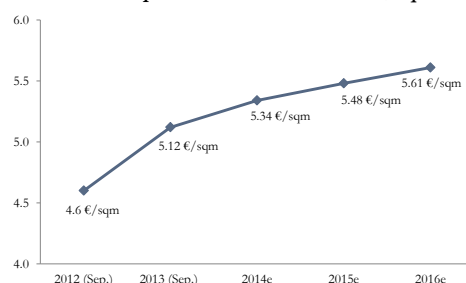
What could change the rating up (S&P)?

- A debt-to-capital ratio below 55%
- A more diversified debt structure

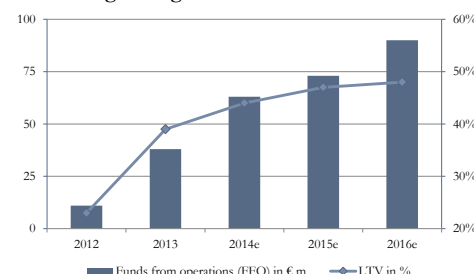
Revenues and net rent development



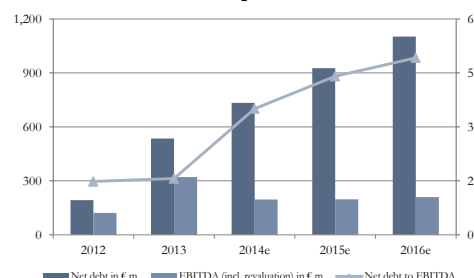
Ø rent expected to increase to € 5.61/sqm



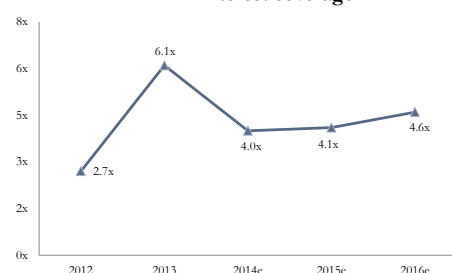
Strong FFO growth and LTV stabilisation



Net debt/EBITDA expected to increase to 5x



EBITDA interest coverage





Deutsche Wohnen AG

DWNIGY ½ 11/22/20 (Equity Ticker: DWNIGY)

Recommendation:
Overweight

Issuer: Deutsche Wohnen AH (GYC GR)

Conversion price (ratio): € 18.7538 (5332.2527 shares per bond)

Berenberg's credit score: Ba1 with stable outlook

Rating: N/A

Issue size: € 250m (par-amount: € 100k)

Coupon: 0.5% (fixed, semi-annual)

Maturity: 22nd November 2020

Call details: Call @ 100.00 (11/22/18); Soft-Call (trigger: 130% of conversion price @ € 24.38)

Dividend protection: full protection

Covenants (amongst others): Cross Default, Change of control, Negative Pledge/Covenant, Certain Sales of Assets

Use of proceeds: Investment funding, General corp. purposes

Payment rank: Senior-unsecured

Investment thesis and recommendation

Deutsche Wohnen AG is the largest private landlord in Berlin and offers outright investors the possibility to profit from the strong rental growth developments, migration trends, and rising real estate valuations in the Berlin region. Additionally, we consider Deutsche Wohnen's credit story as solid and expect improving credit metrics for the coming years.

DWNIGY ½ 11/22/20 has a very attractive profile: it is balanced with a delta of 58.75% and offers a yield-to-worst of -0.63%. The bond floor stands at 83.34, c.21 points below the current price.

Company overview

Deutsche Wohnen AG holds c.150,000 residential and commercial real estate units with an estimated fair value of € 8bn in key metropolitan areas within Germany: 92% of the residential units stem from strategic core and growth regions (blue spots in the map). Around 72% of the company's properties are located in Berlin which belongs in terms of the rent development to one of the most dynamic regions in Germany.

Deutsche Wohnen AG is well positioned to take advantage of two megatrends in the real estate industry: (i) urbanisation and (ii) demographic change. Operating exclusively in selected major German cities, Deutsche Wohnen was able to hide from the turmoil in stressed Eurozone countries.

Equity story (click here for the [last comment](#))

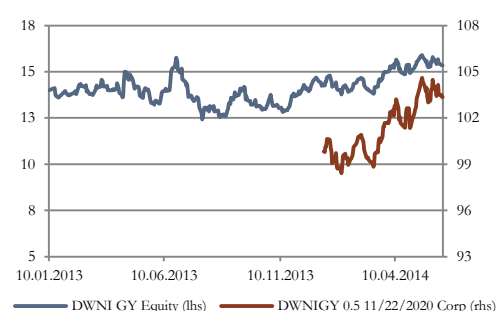
Focus on metropolitan areas with strong macro fundamentals

Deutsche Wohnen profits from strong portfolio holdings in Berlin and Frankfurt. These two cities will gain in terms of net migration, rising household income and a robust economic development. Berenberg's equity research expects that this will translate into above-industry rental growth.

Exposure to Berlin ensures significant earnings growth

Given that 72% of the company's properties are located in Berlin, Deutsche Wohnen is likely to profit from rising rents in the coming years (average new letting rent in Berlin stands at € 7.10 per sqm versus € 5.54 per sqm for existing contracts).

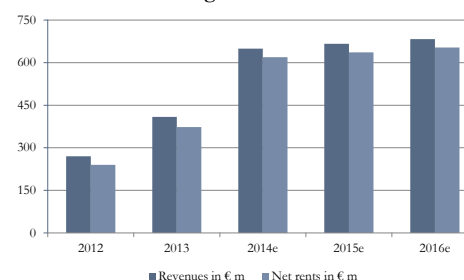
Equity (in €) and convertible bond development



Focus on metropolitan regions



Profitable growth in net rents



**Operational efficiency and earnings quality**

High income predictability with a low tenant turnover of c.7% in its strategically important “core+ regions” and strong like-for-like rental growth adds to earnings quality. The rent potential on newly lent apartments in the strategically important core+ portfolio units is estimated at c.25% on the current in-place rents (80% of the assets are classified in this portfolio).

Finally, the quality of the earnings is further improved by the low vacancy rate (2.6% as of Q1 2014), which however restricts enhancements for the profitability coming from vacancy rate reductions.

Credit profile

We like the emphasis of the company for strong and stable cash flow generation and the rather conservative financial profile. Additionally, the profitability (adj. EBITDA margin of c.68% for FY 2013) – due to a strong commitment of the company for keeping the cost ratio low – is well in line with an investment-grade scoring. Going ahead, Berenberg expects a significant improvement in the FFO and leverage metrics in 2014 which points to a movement to an investment grade score in the coming years.

Strong cash flow generation and liquidity profile

In 2013, Deutsche Wohnen AG generated € 114.5m FFO (compared to € 68.2m in 2012) and Berenberg’s equity research expects a significant further increase in FFO for the coming years to more than € 225m until 2016. Note that the dividend policy of Deutsche Wohnen targets a 60% payout of FFO which we regard as positive for the liquidity and funding profile of the company.

Long dated maturity profile and low cost of debt

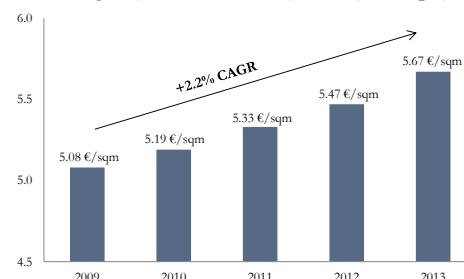
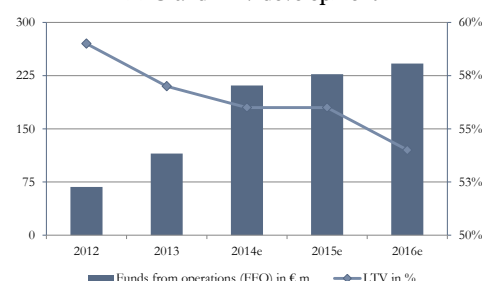
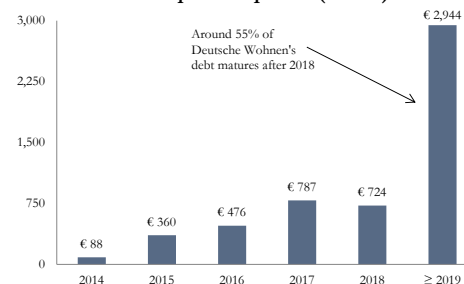
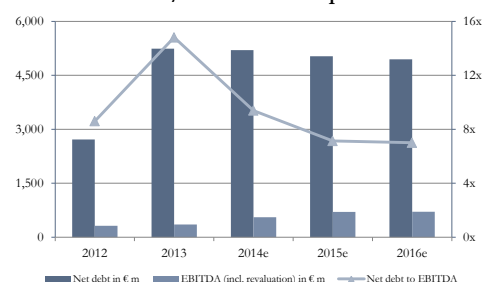
As of 2013, Deutsche Wohnen’s portfolio had a LTV of c.57% and an average weighted maturity of debt of 7.9 years. The company pays on average a rate of interest of 3.36%, with 91% of the rates being fixed or hedged. It targets a LTV of c.55%. Berenberg regards the maturity profile as excellent with c.55% of the company’s long-term debt maturing after 2019.

Adequate leverage profile

The effective leverage (defined as total debt divided by gross assets) corresponds to an indicative score in the upper high-yield area which also holds for the net debt to EBITDA ratio. However, Berenberg expects that Deutsche Wohnen is able to reduce the leverage metrics in the coming years, moving closer to ratios observed for investment-grade real estate companies. Note that around half of the company’s debt is secured.

Strong market position in key regions

We consider the market position of Deutsche Wohnen as very strong and in line with a high investment-grade score in this category. In particular, we regard the size of the company, its diversification in terms of tenants, and the brand name as positive.

Strong in-place rent development (in €/sqm)**FFO and LTV development****Debt expiration profile (in € m)****Net debt/EBITDA development**

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LEG Immobilien AG

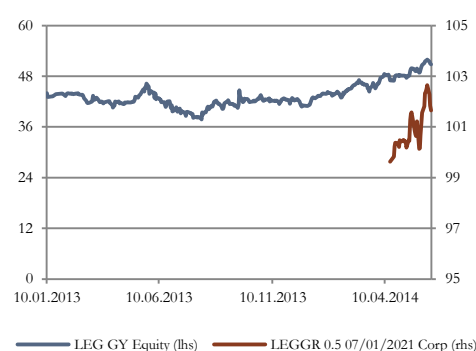
LEGGR ½ 07/01/21 (Equity Ticker: LEG GY)

Recommendation:

Overweight*Issuer:* LEG Immobilien AG (LEG)*Conversion price (ratio):* € 62.39 (1602.821 shares per bond)*Berenberg's credit score:* Baa2 with stable outlook*Rating:* N/A*Issue size:* € 300m (par-amount: € 100k)*Coupon:* 0.5% (fixed, semi-annual)*Maturity:* 1st July 2021*Call/put details:* Soft-Call (trigger: 130% of conversion price @ € 81.107 with start date 07/22/2019); Put (put price of 07/01/2019 @ 100)*Dividend protection:* full protection*Covenants:* Change of control*Use of proceeds:* Acquisition Financing*Payment rank:* Senior-unsecured**Investment thesis and recommendation**

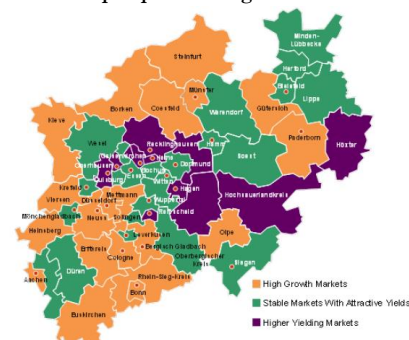
LEG Immobilien AG is a pure residential real estate company and offers investors an exposure to attractively growing regions within Germany's most populated state North Rhine-Westphalia (NRW). The company possesses excellently diversified organic growth capabilities and with an average weighted debt maturity of more than 10 years, a cost of debt below 3%, and defensive financial profile (LTV c.48%), LEG additionally has a very solid credit profile.

LEGGR ½ 07/01/21 is a fairly valued and balanced convertible with a delta of 47.304% and offers a positive YTM of 0.19% (coupon 0.5%). The bond floor stands at 80.82, around 21 points below the current price.

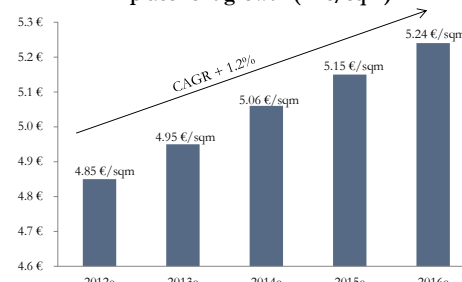
Equity (in €) and convertible bond development**Company overview**

LEG Immobilien was founded as a public housing company in 1970 and was privatised in 2008. The real estate company operates exclusively in the state of North Rhine-Westphalia. LEG has c.95,000 apartments and caters more than 260,000 tenants. The company profits from the growing demand for single tenant flats in its region. The fair value of the portfolio is estimated at € 4.9bn (Sep. 2012).

Around 35% of LEG's portfolio is located in the regions of Mettmann, Dortmund and Münster which belong to the hot spots of NRW. The company employs around 500 people. In 2014, LEG is expected to generate net rents of € 576m and revenues of € 578m.

Growth prospects for regions in NRW**Equity story (click here for the [full study](#) and [last comment](#))****Favourable demand situation in NRW**

With more than 17.8m inhabitants and one-fifth of the German GDP, NRW belongs to one of the most attractive regions in Germany. This provides the fundament for further growth due to an expected increase in net migration (13.5% growth in 1 - 2 person households until 2030) and continued strong economic growth. With an average rent of € 316 per apartment, LEG capitalises on the fact that 50% of households have a disposable income of less than € 2,000 per month. Generally, the supply of new and affordable housing in NRW remains low.

In place rent growth (in €/sqm)

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Strong and predictable growth prospects

In 2013/2014 alone, the company targets an acquisition volume of 10,000 real estate units (so far LEG bought ~6,700 units for 2013/14). The company possesses a scalable platform and can add capacity at low marginal costs (up to 20k – 25k additional units).

In addition to external growth, LEG targets an average annual rental growth rate of 2% to 3%. This feeds into structural and organic growth, independent of the business cycle. Berenberg expects that the vacancy rates will remain below 3%.

Credit profile

Berenberg's credit score for LEG points to a solid investment-grade rating. In particular, LEG sets industry standards in terms of its funding structure and ranks very high in terms of its profitability. Overall, Berenberg assesses the financial profile of LEG as defensive.

Strong balance sheet

LEG has a LTV below 50%, leaving plenty of room for further growth. The company set a maximum LTV of 55%.

Stable cash generation

In 2013, LEG generated a FFO of € 141m. Although Berenberg expects FFO to grow further, the growth rate will be rather low (CAGR of c.3% for the time period 2014e to 2016e). Note that LEG targets a 65% dividend payout ratio which is also in line with an investment-grade rating.

Well balanced debt structure and low cost of debt

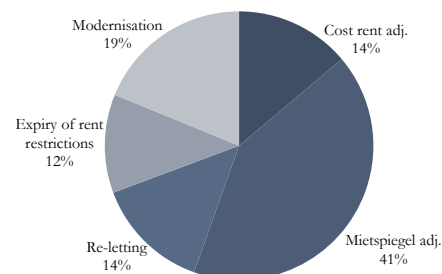
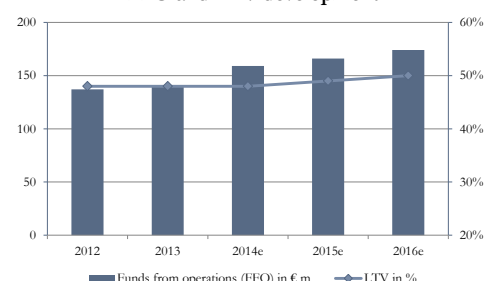
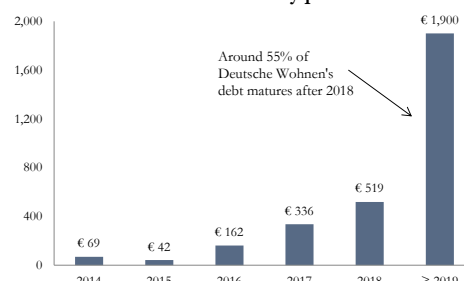
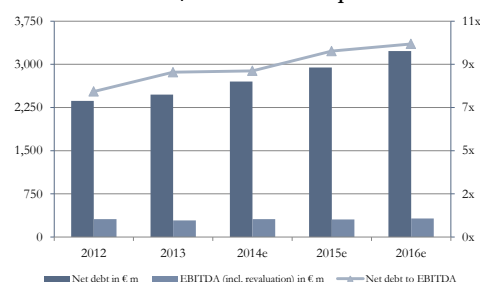
Berenberg regards LEG's maturity profile as excellent with no major refinancing coming due before 2017 and with c.62% of the debt maturing after 2018. As of April 2014, the company had an average maturity of its debt of more than ten years and a cost of debt of 2.95%. Furthermore, around 98% of the company's debt is fixed or hedged against rising rates.

Leverage metrics point to a scoring in the high-yield area

The net debt/EBITDA ratio is above 9x which points to a score in the low end of the high-yield area. On the other hand, the effective leverage signals a scoring on the border between investment-grade and high-yield. Berenberg does not expect that LEG will reduce its leverage and we consider LEG's leverage as rather aggressive.

Strong market position in NRW

We consider the market position of LEG in the region of NRW as very strong and in line with a high investment grade-score in this category. The company has a critical size, a diversification in terms of tenants, and a strong brand name which is further supported by more than 160 offices within the NRW region.

Driver for organic rental growth**FFO and LTV development****Balanced maturity profile****Net debt/EBITDA development**



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Company	Disclosures	Initiation of coverage
Deutsche Wohnen AG	no disclosures	11 June 2014
Grand City Properties S.A.	1, 3, 5	11 June 2014
LEG Immobilien AG	no disclosures	11 June 2014

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Historical recommendation changes for DWNIGY 1/2 11/22/20 in the last 12 months

Date	Recommendation
11 June 2014	<u>Overweight</u>

Historical recommendation changes for GEAGP 4 1/4 04/16 in the last 12 months

Date	Recommendation
11 June 2014	<u>Overweight</u>

Historical recommendation changes for LEGGR 1/2 07/01/21 in the last 12 months

Date	Recommendation
11 June 2014	<u>Overweight</u>

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Overweight	16,67 %	20,00 %
Underweight	43,75 %	20,00 %
Marketweight	39,58 %	60,00 %



Valuation basis / recommendation key

Overweight: Sustainable spread tightening potential higher 10% within 3-6 months.

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Marketweight: Limited spread movement potential. No immediate catalyst visible.

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